A. APPLICABILITY:

This Rate Schedule applies to separately metered single-family residential dwellings receiving Electric Service from the City of Palo Alto Utilities.

B. TERRITORY:

This rate schedule applies everywhere the City of Palo Alto provides Electric Service.

C. UNBUNDLED RATES:

Per kilowatt-hour (kWh)	Commodity	Distribution	Public Benefits	Total
Tier 1 usage	$ 0.10839	$ 0.10024	$ 0.00631	$ 0.21494
Tier 2 usage Any usage over Tier 1	0.13973	0.09371	0.00631	0.23975
Customer Charge ($/month)				5.38

D. SPECIAL NOTES:

1. Calculation of Cost Components

The actual bill amount is calculated based on the applicable rates in Section C above and adjusted for any applicable discounts, surcharges and/or taxes. On a Customer's bill statement, the bill amount may be broken down into appropriate components as calculated under Section C.

2. Calculation of Usage Tiers

Tier 1 Electricity usage shall be calculated and billed based upon a level of 15 kWh per day, prorated by Meter reading days of Service. As an example, for a 30-day bill, the Tier 1 level would be 450 kWh. For further discussion of bill calculation and proration, refer to Rule and Regulation 11.

{End}